rights issues to ICICI's shareholders and the investing public. The equity base grew further as ICICI's reserves from retained earnings rose year by year. ICICI's reserves were augmented continuously by retentions of profits on sale of shares in the market and stood at ₹30.35 crores at the end of 1979. According to Parekh, a balanced debt-equity ratio was necessary, normally 1.5:1, but the government norm was 2:1. However, various considerations had to be taken into account, with regard to the need of each industry. It was important not to have any hard and fast rules regarding the debt-equity ratio. Flexibility was essential. Parekh's firm view was that the equity base should be strong and excessive borrowing must be avoided for survival and growth.

ICICI's financial viability depended not only on its own financial strength but also on the viability of the projects assisted by it. Throughout this period of twenty-five years, ICICI maintained a good earning record and serviced its debts punctually. It started paying a dividend to its shareholders from the second year of its operation. While ICICI's accumulated reserves exceeded its share capital, dividend on its shares which to start with was 3.5 percent (free of tax) was stepped up gradually to 12 percent.[40] By the time Parekh retired from an executive position at ICICI in December 1975, ICICI's sanctions had reached ₹54 crores, and the last dividend paid in his time was 12 percent.

Industry, large and small, old and new, made rapid progress in the 1960s and ICICI played a useful role, both by providing finance and by bringing some sense of discipline among entrepreneurs. ICICI's World Bank connection had taught it the importance of a detailed appraisal of a project, based on technical, financial, marketing, and managerial angles. ICICI built up its own technical staff, keeping these requirements in mind. Over the years, project appraisal became more refined. Later, non-financial considerations were also taken into account. ICICI insisted on financial projections of projects over five years to determine the expected cash flow out of which the company could meet payments of the principal and interest as they became due. The idea of financial projections was unknown in India at the time and ICICI met with a great deal of initial resistance. Later, the practice gained acceptance and its benefits to the entrepreneurs came to be appreciated by the business community.